The only drawback here however is that this rule is difficult to follow with small portfolios and leverage makes it difficult too. So, for instance, you are a future on a share of ₹100 for a margin of ₹15. This means that 1% change in price will be roughly 6.67% change in our portfolio.As per the 1% rule, you should manage risks in such a way that risks are limited to 0.16% of the portfolio so that after leverage, we do not lose more than 1%. Thus, we have to extremely careful when working with leverage.

Also, with small portfolios, 1 lot may be more than their portfolio. So following the 1% rule becomes impossible there.

Not Losing more than 1% of the trading capital in a single trade is an excellent method to ensure long term survival.

₹1,00,000 Trading capital → **100 Consecutive loss making trades** → **Get wiped out of the market**